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Amending Acts

1. Nepal Laws Amendment, Repeal and Reorganization Act, 2019 2019.12.30
2. National Communication Committee (First Amendment) Act, 2028 2028.1.20
3. Some Nepal Law Amendment Relating to Communication Act, 2029 2029.6.5
4. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.7.24
5. National News Committee (Second Amendment) Act, 2045 2045.7.10
6. Act to Amend Some Nepal Acts Relating to Communication, 2047 2047.7.14
7. National News Committee (Third Amendment) Act, 2048 2048.12.30
8. Act (to Amend) Some Nepal Acts Relating to Communication, 2055 2055.3.10

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9. Act to Revive Provisions of Some Nepal Acts, 2063 2063.4.23
10. Act to Consolidate the Republic and Amend Some Nepal Laws, 2066 2066.1.7
11. Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 2075.1.19

Act No. 29 of the year 2019

Act to Establish the National News Committee

Preamble: Added by the Nepal Laws Amendment, Repeal and Reorganization Act, 2019. Whereas, in order to maintain the convenience of the general public, Removed by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066. within Nepal and abroad alike, the people of the country and foreigners may also receive impartial and authoritative news and information, and Amended by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066. to help in the creation of a solid public opinion along with the growth of a sense of unity in Nepal, it is desirable to establish a nationwide National News Committee for the search and procurement of complete and real news and information in the country and abroad, distribution of the obtained news and information to users, and appropriate exchange of news, and to make arrangements to lay a healthy and strong foundation thereof;

Now, therefore, in accordance with Article 93 of the Constitution of Nepal, Amended by the Nepal Laws Amendment, Repeal and Reorganization Act, 2019. from His Majesty King Mahendra Bir Bikram Shah Dev, this Act is enacted. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "National News Committee Act, 2019."

(2) This Act shall extend throughout Nepal Removed by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066..

(3) This Act shall come into force immediately. 2.

Definitions: Unless the subject or context otherwise requires, in this Act - (a) "Committee" means the National News Committee. (b) "Board" means the Board of Directors formed to operate the Committee. (c) "News" means a new report or account concerning any event or circumstance which, considering timeliness, importance and potential impact, is deemed notable. (d) "Director" means a member of the Board. (e) "General Manager" means the General Manager of the Committee appointed under Section 14. (f) "Correspondent" means a correspondent who provides news to the Committee. (g) "Shareholder" means a shareholder taking shares distributed under this Act. (h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or regulations made under this Act Amended by the Act to Amend Some Nepal Acts Relating to Communication, 2055.. Chapter-2 Establishment, Capital and Management 3. Establishment of the Committee: (1) A Committee named "Rastriya Samachar Samiti" (National News Committee) shall be established. (2) The Committee shall be a self-governing and corporate body with perpetual succession. It shall have a separate seal for all its work. It may, subject to this Act and the prevailing Nepal law, acquire, possess and transfer movable and immovable property. It may sue and be sued in its own name. (3) The principal office of the Committee shall be in Kathmandu, and it shall be lawful for the Committee to appoint representatives, correspondents and editors within Nepal Removed by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066. or abroad. 4. Capital, Shares and Shareholders: (1) The authorized capital of the Committee shall be as determined by the Government of Nepal. (2) The Government of Nepal shall take at least 51 percent of the shares in the total capital of the Committee, and Amended by the Act to Amend Some Nepal Acts Relating to Communication, 2055. a maximum of twenty-five percent of the shares shall be sold to the employees of the Committee as prescribed. The remaining shares shall be sold to the general public.

Shares purchased by an employee shall not be sold or transferred by him/her while he/she remains in the service of the Committee. (3) Each share shall be indivisible. (4) Generally, except for the employees of the Committee, it may be prohibited from giving more than the prescribed Amended by the First Amendment. percentage of shares to any person or company. (5) The liability of a shareholder of the Committee shall be limited. 5. Disqualification to be a Shareholder: No person other than a citizen of Nepal or a company registered under Nepal law may purchase shares of the Committee or get his/her name registered or transferred as a shareholder. 6. Power to Take Grants and Loans: After the arrangement of a General Meeting, as passed by that meeting, or until the arrangement of a General Meeting, the Committee may, with the approval of the Government of Nepal, take necessary cash or in-kind loans or accept grants to increase its working capital. Provided that the Committee shall not take a loan or accept a grant from any foreign agency without the approval of the Government of Nepal. 7. Management: The Board shall supervise, direct and manage all the work and activities of the Committee. Except for matters expressly written in this Act or the rules made under this Act to be done as passed by the General Meeting after its arrangement or as decided by the Government of Nepal until the arrangement of the General Meeting, the Board shall exercise all powers and perform all duties vested in the Committee in relation to other matters. Provided that the Board

may delegate such of its duties and powers as it deems necessary and proper, among those mentioned in this Act or the rules under this Act, to the General Manager or a sub-committee of one or more Directors or other officers of the Committee, for performance and exercise. 8.

Formation of the Board and Term of Office of Directors: (1) The Board of Directors (hereinafter referred to as the "Board") shall consist of five Directors as follows:- (a) The General Manager of the Committee. (b) One person elected by the General Meeting from among the non-governmental shareholders. (c) One person nominated by the Government of Nepal on behalf of the government shares. (d) One person nominated by the Government of Nepal from among persons renowned in the field of journalism, publishing or literature. (e) One person elected from among the shareholder employees working in the Committee. (2) Until the provision for election by the General Meeting is made, or until the provision for election from among the shareholder employees under clause (e) of sub-section (1) is made, the Director to be elected from the shareholders shall also be nominated by the Government of Nepal. Amended by the Some Nepal Law Amendment Relating to Communication Act, 2029, effective from 2028.12.20. (3) The Government of Nepal shall appoint the Chairperson of the Board, and if no Chairperson is so appointed, the General Manager of the Committee shall preside over the Board. Added by the Second Amendment. (3A) The term of office of Directors elected or nominated under clauses (b), (c), (d) and (e) shall be four years, and after the expiry of the term, they may be re-elected or re-nominated. Amended by the Second Amendment. (4) Notwithstanding anything contained in sub-section (3A), the Government of Nepal may nominate any other person in place of a Director nominated under clauses (c) and (d) of sub-section (1) even before the expiry of his/her term. (5) After Directors are elected by the General Meeting or by the employees of the Committee and assume office, the Directors nominated by the Government of Nepal shall automatically be terminated in their respect. Removed by the Second Amendment. (6) Amended by the First Amendment. 9. Disqualification for Directorship: The following person shall not be or remain a Director:- (a) An insane or mentally imbalanced person, (b) A person convicted of a criminal offense involving moral turpitude and sentenced to imprisonment for more than six months therefor, and five years have not elapsed since the date of serving such imprisonment, (c) A person who has become insolvent due to inability to pay debts, or (d) A person having any kind of private interest in any contract or agreement with the Committee. 10.

Circumstances in which a Director may be Removed: The Government of Nepal may remove any Director on the recommendation of a two-thirds majority of the shareholders present at a General Meeting in the following circumstances:- (a) If any disqualification mentioned in Section 9 exists, or (b) If, without the permission of the Board, the Director is absent from Board meetings for more than 3 consecutive times, and the cause of such absence appears unreasonable in the view of the General Meeting, or (c) If it is proved that the Director has become a partner in any contract with the Committee in violation of Section 16. 11. Resignation of Director and Filling of Vacancies: (1) Any Director may resign from his/her office by giving written notice to the Board. Upon acceptance of the resignation, he/she shall be deemed to have vacated the office. (2) If the office of any Director becomes vacant due to death, resignation or any other cause, the vacancy shall be filled by another nomination or election, as the case may be. Such Directors shall hold office only for the remaining term of their predecessor. (3) No act or proceeding of the Board shall be invalid merely on the ground of any defect in the formation of the Board or any vacancy in the office of a Director. 12. Remuneration of Directors: The remuneration of Directors shall be as prescribed. 13. Board Meetings: (1) A meeting of the Board shall be held at the prescribed time and place, and the procedure of the Board meeting shall be as prescribed. The Chairperson, or in his/her absence, a Director chosen by the Directors from among themselves for that meeting, shall preside over the Board meeting. (2) If more than half of the total number of Directors then in office are present at a meeting, it shall be deemed to constitute a quorum for the Committee, and if there is

no quorum, the meeting shall be adjourned. (3) All matters shall be decided by a majority of the Directors present and voting at the Board meeting. In case of a tie, the Chairperson, or in his/her absence, the Director presiding over that meeting, shall have the casting vote. Amended by the First Amendment. 14. Appointment of General Manager, Advisors and Other Employees: (1) For the efficient operation of the functions of the Committee, the Government of Nepal may appoint one General Manager and as many Advisors as necessary, and the Committee may appoint other employees.

The appointment, conditions of service, procedure and remuneration of such persons shall be as prescribed. (2) Conditions of appointment and service may be imposed such that a person is required to compulsorily purchase shares of the institution from the prescribed amount of monthly remuneration. Provided that shares shall not be sold to employees appointed on a temporary basis or appointed on a contract basis. Amended by the Second Amendment. 15. Director Not to Participate in Meeting: A meeting of the Committee held in connection with taking action against the General Manager or an employee who is a Director under Section 8 shall not allow the General Manager or such employee to participate in that meeting in the capacity of a Director. 16. Restriction on Directors and General Manager of the Committee: No Director or General Manager of the Committee shall be a partner in any contract with the Committee. Provided that, as soon as any Director or General Manager becomes aware, directly or indirectly, of his/her interest in any contract made or proposed to be made by the Committee or any subsidiary organ of the Committee, which is submitted for the consideration of the Board, he/she shall immediately present the matter to the Board meeting. The matter so presented shall be recorded in the minutes book, and the Director concerned shall not be entitled to participate in any deliberation or decision of the Board regarding that contract. Chapter-3 Duties of the Committee Amended by the First Amendment. 17. Duties of the Committee: (1) Subject to this Act, it shall be the duty of the Committee to collect and distribute impartial and Amended by the Act to Amend Some Nepal Acts Relating to Communication, 2049, effective from 2028.12.20. authoritative, accurate, unbiased, reliable and real news, keeping in view the national perspective.

While performing duties under this sub-section, the Committee shall -

(a) Not distribute news that may disturb friendship with other nations or world peace, or create unrest or panic.

(b) Removed by the Act to Amend Some Nepal Acts Relating to Communication, 2047. shall not distribute unnecessary news that makes unsubstantiated allegations against anyone and creates confusion in society.

(2) Without prejudice to the generality of the duties mentioned in sub-section (1), the Committee may do the following things:-

Amended by the Act to Amend Some Nepal Acts Relating to Communication, 2047. (a) Collect and distribute news of a kind that promotes the sovereignty, integrity and nationality of the country and is beneficial to the people.

(b) Removed by the Act to Amend Some Nepal Acts Relating to Communication, 2047. collect and distribute news of a kind that enhances the standard of the country and society and uplifts society, subject to prevailing law and policy.

(c) Collect and distribute news of national importance without hurting civic, moral and ethical sentiments.

(d) Make arrangements for education and training of persons inside or outside the Committee in the work of the Committee.

(e) Determine and collect news editions, distribution charges, other charges, etc.

(f) While distributing news, take necessary steps to improve the quality of news, keeping in view Added by the Act to Amend Some Nepal Acts Relating to Communication, 2049, effective from 2028.12.20. the basic national unity of Nepal Removed by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066.

(g) Acquire movable and immovable property to carry out its work.

(h) Borrow from others by mortgaging the property of the Committee.

(i) Lease, sell or otherwise dispose of the property of the Committee.

(j) Pay interest on deposits and distribute dividends on shares of the Committee.

(k) Make and execute all kinds of contracts to assist in the exercise of its powers Amended by the Some Nepal Law Amendment Relating to Communication Act, 2029, effective from 2028.12.20. and the performance of its duties.

(l) For the collection and sale/distribution of news, open branch offices in various places throughout Nepal Added by the Act to Amend Some Nepal Acts Relating to Communication, 2059, effective from 2028.12.20.

Removed by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066. and abroad, appoint correspondents and editors, or acquire clients.

(m) Make provision for pension or gratuity for its officers and employees Amended by the Some Nepal Law Amendment Relating to Communication Act, 2029, effective from 2028.12.20. and open accounts beneficial to the financial interest of the Committee.

(n) Invest its funds in securities specified by the Government of Nepal and earn profit.

(o) Do all other acts and things necessary and required in the course of performance of its duties, exercise of its powers under this Act, and implementation of the objectives of this Act. 18. Prior Approval of Government of Nepal Required: The Committee shall not do the following acts without the prior approval of the Government of Nepal:-

(a) Spend capital to purchase or acquire any immovable property or any other thing costing more than Amended by the Act to Amend Some Nepal Acts Relating to Communication, 2055. one crore rupees, or

(b) Mortgage any immovable property for a period exceeding Amended by the Second Amendment. ten years, or

(c) Sell or transfer any property, right or facility valued at more than Amended by the Second Amendment. five lakh rupees. 19. Submission of Budget and Program: (1) The Board shall, at least three months before the commencement of its fiscal year, submit to the General Meeting a proposed budget including details of the program of operations, development works, other works to be carried out by the Committee and its subsidiary organs in the coming fiscal year, capital investment, and, if additional staff assistance is required, details thereof.

(2) If the Board desires to carry out any special work in any fiscal year in addition to those already mentioned in the program submitted under sub-section (1), and if this is likely to bring about a substantial change in the proposed budget, a supplementary program and a supplementary budget for the expenditure to be incurred

and the revenue to be received in the remaining part of that fiscal year shall be submitted to the General Meeting for approval.

(3) Until the arrangement of a General Meeting, the Board shall submit the budget as per sub-sections (1) and (2) to the Government of Nepal. Chapter-4

General Meeting

20. General Meeting: (1) After at least 10 percent of the value of the share capital issued for sale to the general public has been sold to the general public, a General Meeting (hereinafter referred to as the Annual General Meeting) shall be held every year at the principal office of the Committee within 45 days of the closing of the annual accounts of the Committee.

An Extraordinary General Meeting of the Committee shall also be held at any other time if shareholders holding at least one-tenth of the value of the share capital issued for sale to the general public apply in writing with their signatures, or if at least fifty shareholders so apply, or if the Committee deems it necessary.

(2) If shareholders holding at least one-fourth of the total value of the shares issued for sale to the general public, or their representatives, are present, it shall be deemed to constitute a quorum for the General Meeting.

(3) At the Annual General Meeting, the shareholders present shall discuss the annual accounts and profit and loss account of the Committee, the auditor's report thereon, and the report of the Board on the work of the Committee for the year. Until the arrangement of the Annual General Meeting is made, these matters shall be submitted to the Government of Nepal. Amended by the Some Nepal Law Amendment Relating to Communication Act, 2029, effective from 2028.12.20. (4) A shareholder shall have the right to vote in proportion to the percentage of shares purchased, at the rate of one vote for each one percent share of the total capital of the Committee. Provided that,

(a) A shareholder who has purchased less than one percent of the total capital of the Committee shall not have the right to vote.

(b) If the share percentage exceeds one unit, only the vote equal to the lower unit shall be given until the upper unit is reached. Added by the Some Nepal Law Amendment Relating to Communication Act, 2029, effective from 2028.12.20. (4A) A shareholder shall not be entitled to vote at the Annual General Meeting without being present in person or sending a representative.

(5) Decisions at the meeting shall be made on the basis of a simple majority of the shareholders and representatives present. 21. Power of Government of Nepal to Give Directions: The Government of Nepal may, if it deems appropriate in the national interest, give directions to the Committee on the following matters, and it shall be the duty of the Committee to comply with such directions:-

(a) To operate its service or carry out other activities in any particular area, or

(b) To close any work being done by the Committee in any particular area or entirely, or to make any change therein, or

(c) Not to do any act that the Committee intends to do. 22. Power of Government of Nepal to Cause Inspection of Work of Committee: The Government of Nepal may, if it deems necessary, cause an inspection of the work and accounts of the Committee by any person. 23.

Power of Government of Nepal to Dissolve Board: (1) If it appears to the Government of Nepal that the work of the Board is not being conducted properly, or that the Board has acted contrary to the objectives of the Committee, or that it has persistently violated the directions given by the Government of Nepal under this Act, the Government may issue an order dissolving the Board. (2) After the Board is dissolved under sub-section (1), another Board shall be formed under Section 8. (3) After the Board is dissolved under sub-section (1) and until another Board is formed under sub-section (2), the Government of Nepal may assign one or more persons to carry out the proceedings required to be done by the Board. (4) An order issued under sub-section (1) shall be final. Chapter-5 Fund, Accounts and Audit 24. Fund of the Committee: (1) The Committee shall have its own separate fund. All moneys received by the Committee, including loans and grants, shall be deposited in that fund, and all expenditures to be made on behalf of the Committee shall also be borne from that fund. (2) All moneys of the fund shall be deposited in the Nepal Rastra Bank or other banks permitted by the Government of Nepal. (3) The Board shall have the authority to spend such amount as is deemed proper for acts authorized by this Act and the rules made under this Act. 25. Assumption of Liability: Any liability and contracts made by or with the Government of Nepal relating to matters mentioned in this Act before the commencement of this Act shall, after the commencement of this Act, be deemed to have been made by or with the Committee or on its behalf. 26. Mode of Keeping Accounts: All accounts of income and expenditure of the Committee shall be kept in the form and manner approved by the Government of Nepal. 27. Audit: (1) The audit of the Committee shall be conducted by a total of two auditors, one appointed by the Government of Nepal and one chosen by the shareholders.

The auditor chosen by the shareholders shall be chosen at the Annual General Meeting, and the remuneration of the auditors shall also be determined at that meeting. (2) If the office of the auditor chosen by the shareholders becomes vacant for any reason, or until the arrangement of the General Meeting, the audit shall be conducted only by one auditor appointed by the Government of Nepal. (3) It shall be the duty of the auditors to audit the annual accounts and profit and loss account of the Committee and the vouchers relating thereto. The auditors shall be given the accounts of all ledgers kept in the Committee. They may, at any reasonable time, inspect and examine any books of account and documents kept at any place of the Committee or with any officer and employee of the Committee. (4) The auditors shall submit one copy of their report on the annual accounts and profit and loss account to the Government of Nepal and another copy, after the arrangement of the General Meeting, to that meeting. The following matters shall be clearly stated in that report: (a) Whether the annual accounts and profit and loss account have been properly prepared, clearly showing all necessary matters to reflect the true financial position of the Committee, (b) Whether the Committee has given any explanation or information requested by the auditor, and if given, whether such explanation or information is satisfactory, and (c) Whether the annual accounts and profit and loss account submitted are in due form. (5) The auditors may submit such proposals as they think fit for the proper management of the Committee. The proposals so submitted shall be included by the Board in the agenda of the General Meeting. (6) The Government of Nepal may, at any time, direct the auditors to submit a report to it disclosing whether the steps taken by the Committee for the proper protection of shareholders and creditors are adequate and whether the method of keeping accounts of the Committee is proper. (7) On the basis of the report received under sub-section (4) or (6), the Government of Nepal may give directions to the Committee for necessary corrections or arrangements. Chapter-6 Miscellaneous 28.

Oath to Maintain Secrecy and Not to Commit Breach of Trust: Before assuming office, every Director, General Manager, auditor, officer and other employee of the Committee shall take an oath in the form set out in the Schedule that he/she shall not disclose matters pertaining to his/her office to any person other than the authorized person and shall not commit any breach of trust in the work of the Committee. 29. Repealed by

the First Amendment. Amended by the First Amendment. 30. Penalty: (1) Any person who knowingly or maliciously shows false facts or conceals true facts and makes a difference in the contents, or attempts to do so, in any statement, account book, report or any other document required to be kept, prepared or submitted under this Act or the rules made under this Act, shall be liable to imprisonment for up to three years or a fine of up to three thousand rupees, or both. (2) If any Director or any employee of the Committee, knowingly or negligently or maliciously, does any act other than those mentioned in sub-section (1) and causes loss or damage to the Committee, he/she shall be liable to imprisonment for up to one year or a fine of up to one thousand rupees. (3) If any Director or any employee of the Committee obstructs the work of a person appointed to conduct an inspection under Section 22, or fails without reasonable cause to provide any document or information lawfully requested by such person, or is negligent in providing it, he/she shall be liable to a fine of up to one thousand rupees. (4) If any person uses the name of the Committee in any statement or advertisement without the written consent of the Committee, he/she shall be liable to imprisonment for up to 6 months or a fine of up to one thousand rupees, or both. (5) If any person who is then a Director or General Manager violates Section 16 and becomes a partner in a written contract with the Committee, and fails to disclose it as required by that Section, and thereby derives or attempts to derive any benefit from that capacity, he/she shall be liable to imprisonment for up to two years or a fine of up to five thousand rupees, or both. (6) If any loss or damage is caused to the Committee from an offense punishable under this Section, the amount of such loss or damage shall also be recovered from the person committing that offense. Added by the First Amendment. 30A.

Contact with Government of Nepal: The Committee, while contacting the Government of Nepal in connection with its work and proceedings, or while the Government of Nepal gives any direction to the Committee under Section 21, shall contact or give directions through the Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Ministry of Communication and Information Technology. Added by the First Amendment. 30B. Local Tax Not to be Levied: No local tax of any kind shall be levied on the transactions of the Committee. 31. Repealed by the Judicial Administration Reform (Fourth Amendment) Act, 2083. Amended by the Third Amendment. 32. Special Provision Regarding Collection and Sale/Distribution of News: (1) Notwithstanding anything written elsewhere in this Act, other national and international news agencies may, with the approval of the Government of Nepal, reside within Nepal Removed by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066. and collect news and send it abroad. Amended by the Communication Related Some Nepal Law Amendment Ordinance, 2062, and automatically revived by the Act to Revive Provisions of Some Nepal Acts, 2063. (2) News agencies under sub-section (1) may sell/distribute their news within Nepal Removed by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066. only through news agencies established under prevailing law or through the Government of Nepal. Added by the First Amendment. 32A. Protection of Officers Regarding Loss or Damage: No Director or any employee of the Committee shall be personally liable for any loss or damage caused by anything done or attempted to be done in good faith for the purpose of performing their duties under this Act or the rules made under this Act. Amended by the First Amendment. 33. Power of Government of Nepal to Make Rules: The Government of Nepal may make rules to implement the objectives of this Act, and such rules shall come into force upon publication in the Nepal Gazette. Added by the First Amendment. 33A. Power of Committee to Make Regulations: The Committee may make regulations, not inconsistent with this Act or the rules made under it, for the proper conduct of the work of the Committee, and such regulations shall come into force after approval from the Amended by the Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Ministry of Communication and Information Technology. Section heading amended by the Nepal Laws Amendment, Repeal and

